

Team Finfly

SINGHANIA FAMILY PORTFOLIO MANAGEMENT REPORT

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Assumptions Sheet

This page states every assumption that drives the report. All return figures are the competition mandated anchors. All rupee figures are in lakh unless stated otherwise. One crore equals one hundred lakhs.

Return and rate anchors (annual)

Parameter	Value
Risk-free rate (Rf)	6.0%
Market return, 10-yr NIFTY50 (Rm)	10.7%
Large-cap equity	11.0%
Mid and small-cap equity	13.0%
G-Secs	6.5%
AAA corporate bonds	7.5%
Gold	8.0%
REITs and InvITs	8.0% to 9.0%

Blended basket returns used in the projection

Basket	Blended return	Composition
Basket 1 liquidity	6.5%	T-bills and short G-Secs
Basket 2 property	7.0%	Medium G-Sec, AAA PSU bonds, SGB
Basket 3 income	8.0%	Long G-Sec, AAA bonds, REITs and InvITs
Basket 4 equity	12.0%	16 listed equities, bottom-up build

Structural and behavioral assumptions

- The corpus is a single consolidated pool of Rs 150 lakh. No further contributions are made over the ten-year horizon.
- Living expenses are met from other business and rental income. The corpus is pure surplus, so no income is withdrawn for consumption.
- Rebalancing is permitted only at two points, in 2029 and in 2033. The 2031 property outflow is a mandated withdrawal, not a rebalance.
- Event one occurs in 2029. The RBI cuts the repo rate from 5.25% to 3.50%, a 175-basis point easing cycle.
- Event two occurs in 2033. India crosses USD 5 billion in defence exports and launches a ten-year defence and aerospace PLI scheme.
- Returns are applied as steady annual compounding. Real markets are path dependent, so single-year outcomes will vary around these means.
- Goal values are stated gross of tax. Taxation is treated separately in Section 11 and can be serviced from external income.

1. Overview

The Singhania family has entrusted a single consolidated corpus of Rs 1.5 crore to a portfolio that must serve two horizons at once. Vikram, aged 58, seeks steady and reliable income for life. Aarya, aged 29, seeks long-term capital growth. This report builds one portfolio that honours both, using only the permitted universe of listed equities, government securities, AAA corporate bonds, gold, REITs and InvITs.

The corpus is divided into four goal-aligned baskets. A liquidity buffer of Rs 18L secures the Rs 20 lakh accessibility goal by 2028. A property fund of Rs 36L funds the Rs 50 lakh outflow due in 2031. An income basket of Rs 24L builds Vikram stable retirement corpus. An equity basket of Rs 72L drives Aarya growth goal. The split places 48% in the growth engine and 52% in capital preservation, which expresses a growth tilt anchored by a preservation floor.

The honest headline is this. The four goals sum to Rs 420 lakh of gross requirements over ten years from a Rs 150 lakh base. Under the conservative competition anchors three goals fund comfortably. The liquidity goal reaches Rs 20.42L by 2028. The property goal is met in full in 2031. Aarya equity pool reaches Rs 200.00L by 2036. The binding constraint is Vikram retirement corpus. It reaches Rs 107.47L against the Rs 150 lakh target, a funded ratio near 72%.

This shortfall is structural rather than a design flaw. The corpus cannot simultaneously deliver Aarya Rs 200 lakh and Vikram Rs 150 lakh at justifiable return assumptions. The two goals trade against each other. We resolve the trade-off in Aarya favour for growth while harvesting Rs 16.81L of equity gains into Vikram corpus at the 2033 rebalance. The shortfall is tolerable because the family meets living costs from other business and rental income, so the corpus is pure surplus.

In total the Rs 150 lakh corpus grows to Rs 307.47L retained at 2036, plus the Rs 50 lakh property already purchased. That is Rs 357.47 lakh of total value created, a multiple of about 2.38 times and a blended annual growth rate near 9.1% after the mid-stream property withdrawal.

2. Client Profile and Goals

The mandate originates from a generational transition. Vikram Singhania has handed the family textile business to his daughter Aarya and now wishes to convert accumulated surplus into a portfolio that secures the family future. The two principals hold different and complementary investment temperaments.

The two principals

Principal	Age	Temperament	Primary objective
Vikram Singhania	58	Risk-averse	Steady and reliable income for life
Aarya Singhania	29	Growth conviction, no dependents	Maximum long-term capital growth

The four goals

Goal	Type	Target	Year	Funding basket
1. Liquidity	Accessible reserve	Rs 20L	2028	Basket 1
2. Property	One-time outflow	Rs 50L	2031	Basket 2
3. Vikram retirement	Stable income corpus	Rs 150L	2036	Basket 3
4. Aarya growth	Capital appreciation	Rs 200L	2036	Basket 4

Two features of the mandate shape every decision that follows. First, there are no further contributions, so the Rs 150 lakh base must do all the work. Second, the corpus is pure surplus because living expenses are covered elsewhere. This second feature is what permits a meaningful growth tilt despite Vikram conservative temperament. The family can tolerate a shortfall against the most ambitious goal without any impact on its standard of living.

3. Investment Philosophy

The guiding principle is a growth tilt anchored by a capital preservation floor. We place a clear majority of risk capital in equities to serve Aarya horizon, while ring-fencing enough in high-certainty instruments to meet the near-term and income goals with confidence. Each goal is matched to a basket whose risk profile suits the goal time horizon and certainty requirement. This goal-based architecture prevents a single market drawdown from threatening a near-term obligation.

Macro backdrop supporting the tilt

India macro position in mid 2026 supports a constructive equity stance. Gross domestic product growth for financial year 2026 came in near 7.6%, with the next year forecast near 6.4% to 6.6% by the RBI and the World Bank. The Union Budget for 2026-27 sets total expenditure near Rs 53.47 lakh crore and capital expenditure near Rs 12.2 lakh crore, with effective capital expenditure near Rs 17.15 lakh crore, while holding the fiscal deficit near 4.3% of output. This sustained public capital expenditure underpins the capital goods, infrastructure and power names in the equity book.

The defence budget near Rs 7.85 lakh crore grew about 15% year on year, with capital outlay near Rs 2.19 lakh crore and about Rs 1.39 lakh crore earmarked for domestic industry. This is the policy foundation for the 2033 defence export and PLI event. Sector schemes reinforce the case. The electronics components' manufacturing scheme was doubled to about Rs 40,000 crore, the India Semiconductor Mission entered its second phase, and the country targets 500 gigawatts of non-fossil capacity by 2030.

How the tilt is expressed

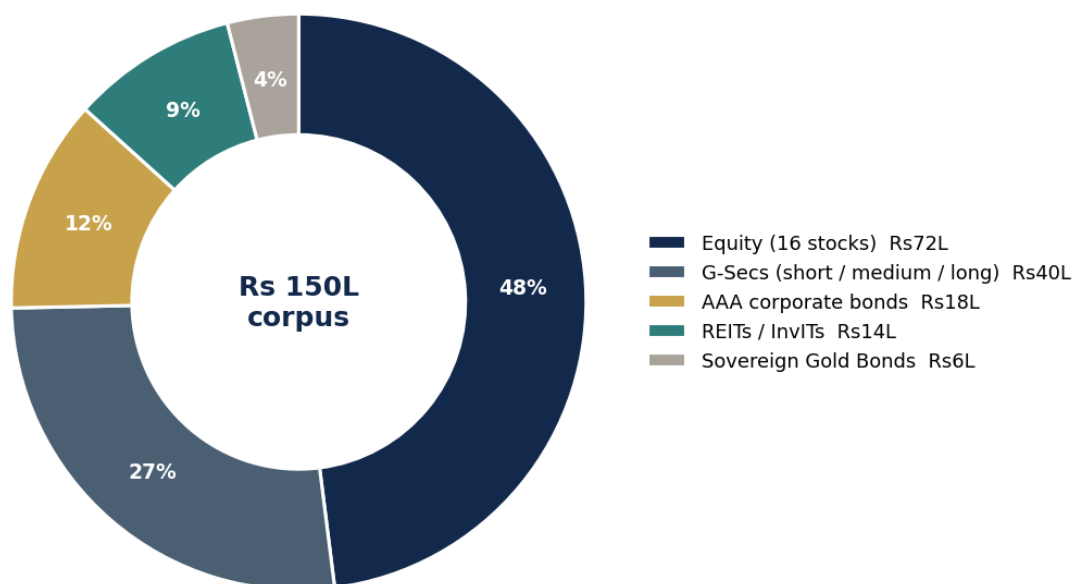
- Equities receive 48% of the corpus. Within equities we favor quality compounders with high return on capital, strong balance sheets and durable competitive positions, accepting full valuations where earnings visibility justifies them.
- The equity blended return is set at 12.0%. This is a bottom-up weighted figure near 11.4% given the large-cap heavy mix, plus a measured quality and growth tilt of about 0.6%. It sits conservatively below the 13% mid and small-cap anchor.
- Capital preservation receives 52% across liquidity, the property fund and the income basket. These baskets use government securities, AAA corporate bonds, sovereign gold bonds, REITs and InvITs to deliver high certainty of meeting the near-term and income goals.

4. Portfolio Construction and Initial Allocation

The Rs 150 lakh corpus is allocated across four baskets at inception in 2026. Each basket maps to one goal and carries a blended return that reflects its instrument mix. The table below is the master allocation that drives the entire projection model.

Basket	Goal served	Allocation	Weight	Blended return	Target year
Basket 1 liquidity	Rs 20L accessible	Rs 18L	12.0%	6.5%	2028
Basket 2 property	Rs 50L outflow	Rs 36L	24.0%	7.0%	2031
Basket 3 income	Vikram corpus	Rs 24L	16.0%	8.0%	2036
Basket 4 equity	Aarya growth	Rs 72L	48.0%	12.0%	2036
Total		Rs 150L	100.0%		

Exhibit 4 | Initial 2026 Allocation by Asset Class

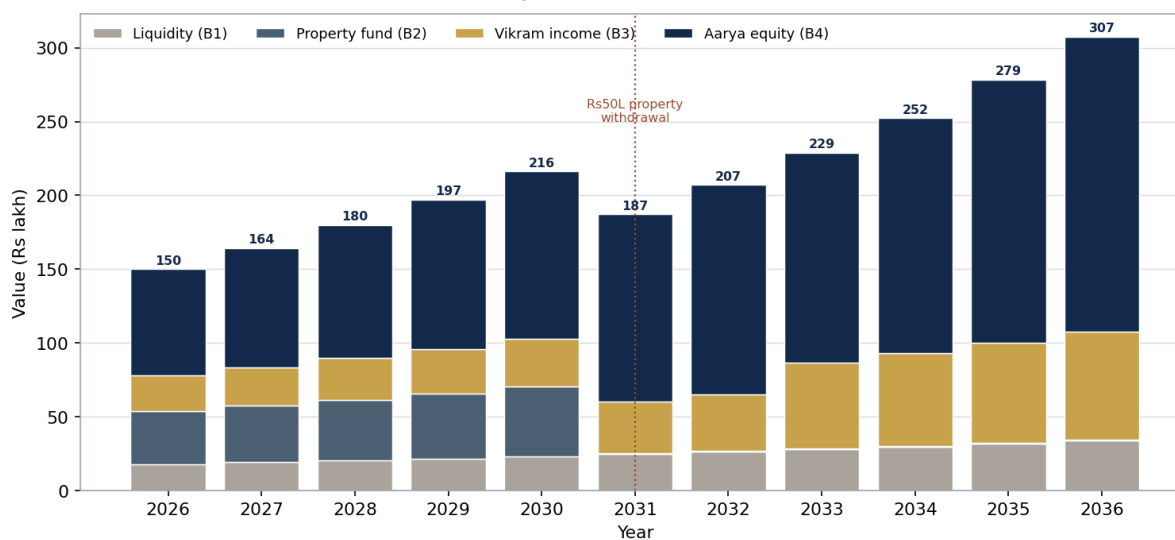


Source: Authors' construction. Growth sleeve 48%; capital-preservation sleeve 52%.

Equity is the single largest class at Rs 72 lakh.

The asset-class view shows the corpus resolving into five blocks. Equity across 16 stocks is Rs 72L. Government securities across short, medium and long maturities total Rs 40L. AAA corporate bonds are Rs 18L. REITs and InvITs are Rs 14L. Sovereign gold bonds are Rs 6L. The preservation blocks dominate by count while equity dominates by single-class weight, which is the visual signature of a growth tilt on a preservation base.

Exhibit 5 | Basket Values 2026 to 2036



Source: Authors' projection model. Bars net of the 2031 property outflow.

The 2031 step down is the Rs 50 lakh property withdrawal.

The basket projection runs the four baskets forward at their blended returns. The total climbs from Rs 150L in 2026 to Rs 187.30L in 2031 before the property withdrawal, steps down with the Rs 50L outflow, then recovers to Rs 307.47L by 2036. The equity basket does most of the compounding work, which is visible in the widening navy band in the later years.

5. Equity Portfolio

The equity basket of Rs 72L holds 16 stocks across nine sectors. No sector exceeds 19% of the basket against a self-imposed cap of 25%. The selection favours quality compounders with high return on capital and clean balance sheets, balanced by a few higher-growth names held at smaller weights. Each holding is presented below with its key fundamentals and the investment case. All figures are from Screener.in and company filings, approximately as of June 2026. Market capitalisation, revenue and profit after tax are in Rs crore.

5.1 Capital Goods & Automation (19% of equity)

Cummins India (CUMMINSIND) - Large cap, Engines / power systems

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
10%	Rs 7.20L	1,49,667	11,602	2,242	67x (55x)	46x (32x)	29%	35%	0.00

Cummins India anchors the capital goods sleeve. The investment case rests on a structural demand shift toward backup power. Data centre build-out and a wider commercial and industrial base are lifting high-horsepower genset orders. The five-year profit after tax growth rate is close to 31%. The balance sheet is debt free and the payout ratio is around 70%, so shareholders receive a steady cash return while the franchise compounds. Return on equity near 29% and return on capital employed near 35% mark this as a high quality industrial. The valuation at roughly 67 times earnings is full. We accept this premium because earnings visibility is strong and the company is the clear category leader. We prefer it to ABB India which trades close to 98 times earnings on a similar quality profile.

Forward catalyst: Data-centre genset demand + HHP exports; 30.8% 5-yr PAT CAGR, 70% payout (Screener, Jun-26). **Closest peer considered:** ABB India.

Siemens (SIEMENS) - Large cap, Industrial automation / digital

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
9%	Rs 6.48L	1,34,476	24,846	2,754	80x (55x)	55x (32x)	16%	21%	0.02

Siemens is a pure automation and digital infrastructure holding after the energy business was de-merged. The remaining entity is leveraged to factory automation, rail electrification and grid digitalisation, all of which sit at the centre of India industrial capital expenditure cycle. Return on equity near 16% and return on capital employed near 21% are respectable for a business carrying almost no debt. The reported beta near 0.63 is low, so the stock dampens overall portfolio volatility while retaining cyclical upside. The final dividend of Rs 18 per share signals confident cash generation. Valuation near 80 times earnings is demanding and is the main risk. We size the position at 9% and treat it as the lower-beta partner to Cummins inside the capital goods sleeve. The thesis is a multi-year order book backed by public and private capex.

Forward catalyst: Pure automation/digital play post energy de-merger; final dividend Rs18 (BSE, May-26). **Closest peer considered:** ABB India.

5.2 Defence & Aerospace (13% of equity)

Bharat Electronics (BEL) - Large cap, Defence electronics

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
7%	Rs 5.04L	3,00,000	26,750	5,900	51x (52x)	32x (28x)	29%	39%	0.00

Bharat Electronics is the core defence electronics holding and a direct beneficiary of the 2033 export and PLI event. The order book stood near Rs 74,000 crore in April 2026 and management guides to growth above 15% for three to four years. Return on equity near 29% and return on capital employed near 39%

are exceptional, and the balance sheet is debt free. An ICRA AAA rating confirms financial strength. Indigenisation of defence procurement is a policy tailwind that should persist across the horizon. The valuation near 51 times earnings reflects this visibility. We hold 7% at entry and plan to raise the weight at the 2033 rebalance as the export thesis matures. We prefer BEL alongside HAL because its electronics mix converts orders to revenue faster than airframe programmes.

Forward catalyst: Order book Rs74,000 Cr (Apr-26); mgmt guides >15% growth for 3-4 yrs; ICRA AAA. **Closest peer considered:** HAL.

Hindustan Aeronautics (HAL) - Large cap, Aerospace / fighters

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
6%	Rs 4.32L	3,00,949	33,089	9,116	33x (52x)	24x (32x)	26%	30%	0.00

Hindustan Aeronautics is the aerospace and platform complement to BEL. The order book near Rs 1.89 lakh crore as of March 2025 includes the Rs 62,777 crore award for 156 Prachand light combat helicopters. This is multi-year revenue visibility that few industrials can match. Return on equity near 26% and return on capital employed near 30% sit alongside a debt free balance sheet. The valuation near 33 times earnings is the cheapest among the large defence names and offers a margin of safety relative to BEL. HAL is the prime beneficiary of the 2033 defence export milestone because indigenous platforms become exportable as the ecosystem matures. We hold 6% at entry. The chief risk is execution timing on large programmes, which we accept given the scale and the policy backing behind domestic manufacture.

Forward catalyst: Order book Rs1.89 lakh Cr (Mar-25) incl 156 LCH Prachand Rs62,777 Cr (Screener, Jun-26). **Closest peer considered:** BEL.

5.3 Financials (16% of equity)

ICICI Bank (ICICIBANK) - Large cap, Private sector bank

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
9%	Rs 6.48L	9,50,000	84,000	47,000	18x (18x)	0x (0x)	18%	n.m.	0.00

ICICI Bank is the lead financials holding and the ballast of the equity book. Net interest margin near 4.54% and gross non-performing assets near 1.96% describe a well-run franchise. Loan growth near 16% year on year in the December 2025 quarter shows the credit engine remains healthy. A current and savings account ratio near 39% supports a low cost of funds, and the capital adequacy ratio above 17% gives room to grow. Return on equity near 18% is best in class among large private banks. The valuation near 18 times earnings is reasonable for the quality on offer. The main risk is margin compression as the rate cycle turns lower in 2029, which is why we plan to trim the weight at that rebalance and rotate toward rate-sensitive lenders.

Forward catalyst: NIM 4.54%, GNPA 1.96%, loan growth 15.9% YoY (Q3FY26); Bakhshi re-appointed to Oct-28. **Closest peer considered:** HDFC Bank.

Bajaj Finance (BAJFINANCE) - Large cap, Diversified NBFC

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
7%	Rs 5.04L	5,98,937	81,982	19,017	31x (18x)	0x (0x)	20%	n.m.	0.00

Bajaj Finance is the chosen non-bank lender and the principal beneficiary of the 2029 rate cut. Assets under management near Rs 5.10 lakh crore grew about 22% year on year to March 2026. Gross non-performing assets near 1.01% are among the lowest in the sector and the capital ratio above 21% is comfortable. Return on equity guidance near 19% to 20% confirms the franchise still earns superior returns at scale. When the repo rate falls, funding costs for a wholesale-reliant lender drop quickly, which widens spreads ahead of banks. That makes Bajaj Finance the clearest equity expression of the easing

thesis. The valuation near 31 times earnings is high and reflects the growth record. We hold 7% at entry and plan to add at the 2029 rebalance as the rate cycle turns.

Forward catalyst: AUM Rs5.10 lakh Cr (+22% YoY, Mar-26); GNPA 1.01%; ROE 19-20% guidance. **Closest peer considered:** Chola/Shriram.

5.4 Specialty Chemicals (10% of equity)

PI Industries (PIIND) - Mid cap, Agchem CSM

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
5%	Rs 3.60L	43,173	6,183	1,400	30x (28x)	22x (18x)	12%	16%	0.05

PI Industries is a contrarian holding in agricultural sciences custom synthesis. The company is a top-five global player in this niche and is building a pharmaceutical contract development arm to widen its addressable market. Return on equity near 12% is cyclically depressed because the agrochemical cycle has been weak and certain molecules are between launch phases. This is exactly why the entry valuation near 30 times earnings sits in what we view as an undervalued zone for a quality franchise. The China plus one shift in fine chemical sourcing is a multi-year tailwind. Return on capital employed near 16% and a near debt free balance sheet support patience. We size the position at 5% and treat it as a recovery and optionality holding. The risk is a slower agrochemical recovery, which we accept given the strong order pipeline.

Forward catalyst: Top-5 global AgSciences CSM player; pharma CDMO build-out; trading in 'undervalued zone'. **Closest peer considered:** Sumitomo Chem.

Navin Fluorine (NAVINFLUOR) - Mid cap, Fluorochemicals / CDMO

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
5%	Rs 3.60L	38,578	3,314	664	58x (28x)	40x (18x)	17%	16%	0.40

Navin Fluorine is the fluorochemicals and contract manufacturing holding. The financial year 2026 showed revenue up about 41% and profit up about 130%, with the operating margin expanding close to 992 basis points to about 32.6%. The contract development and manufacturing segment grew about 61% year on year and is the structural growth engine. Fluorine chemistry is a high barrier specialty where India is gaining global share. Return on equity near 17% and return on capital employed near 16% are improving as the margin inflects. The balance sheet carries modest debt near 0.4 times equity from a recent capacity build, which we monitor. The valuation near 58 times earnings is rich and prices in the inflection. We hold 5%. The thesis is operating leverage on new capacity, with the main risk being execution on the contract pipeline.

Forward catalyst: FY26 revenue +41%, PAT +130%, EBITDA margin 32.6% (+992bps); CDMO +61% YoY. **Closest peer considered:** SRF.

5.5 Healthcare & Diagnostics (9% of equity)

Divi's Laboratories (DIVISLAB) - Large cap, API / custom synthesis

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
5%	Rs 3.60L	1,79,214	10,560	2,568	70x (40x)	42x (28x)	15%	20%	0.00

Divi Laboratories is the active pharmaceutical ingredient and custom synthesis holding. Custom synthesis is now 53% to 56% of revenue and is the high-value growth engine. New peptide capacity aimed at the GLP-1 weight management wave and the Kakinada unit three expansion give a clear capacity-led growth path, with financial year 2026 capital expenditure near Rs 2,500 crore. Exports are about 90% of revenue, so the franchise is a genuine global supplier. Return on equity near 15% and return on capital employed near 20% sit on a debt free balance sheet. The valuation near 70 times earnings is high and reflects the

peptide optionality. We hold 5%. The risk is pricing pressure in generic active ingredients, offset by the shift toward higher-margin custom synthesis and the structural demand from metabolic drugs.

Forward catalyst: GLP-1 peptide capacity + Kakinada Unit-3; FY26 capex ~Rs2,500 Cr; exports 90%. **Closest peer considered:** Laurus Labs.

Dr Lal PathLabs (LALPATHLAB) - Mid cap, Diagnostics

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
4%	Rs 2.88L	27,912	2,763	510	52x (53x)	30x (28x)	22%	28%	0.00

Dr Lal PathLabs is the diagnostics holding and a steady compounding business. It is the largest organised diagnostics chain in India, which matters in a fragmented market where scale and brand drive sample volumes. Management guidance for financial year 2027 is 13% to 15% revenue growth with 15 to 20 new laboratories. Return on capital employed above 28% and a net cash balance sheet describe an asset-light model that converts growth to cash. Return on equity near 22% is strong. The valuation near 52 times earnings is a quality premium for predictable healthcare demand. We hold 4%. The thesis is steady volume-led compounding with optionality from an artificial intelligence diagnostics centre. The main risk is price competition from online-first players, which we judge manageable given the network density and physician relationships.

Forward catalyst: FY27 guidance 13-15% rev + 15-20 new labs; ROCE ~28%+, net cash; 'Sovaaka' AI centre. **Closest peer considered:** Metropolis.

5.6 Infrastructure & Construction (8% of equity)

Larsen & Toubro (LT) - Large cap, EPC / engineering

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
8%	Rs 5.76L	5,72,895	2,85,874	18,954	30x (28x)	20x (16x)	16%	17%	1.20

Larsen and Toubro is the infrastructure and engineering anchor and a second-order beneficiary of the 2033 defence event through its strategic systems arm. The order book is at a record near Rs 7.40 lakh crore and financial year 2026 inflows near Rs 4.36 lakh crore grew about 22%. About 58% of the order book is international, chiefly from the Middle East, which diversifies the domestic capital expenditure cycle. Return on equity near 16% and return on capital employed near 17% are solid for a diversified engineering, procurement and construction house. The valuation near 30 times earnings is reasonable given the visibility. We hold 8%, the largest single position. The balance sheet carries leverage near 1.2 times equity, which is normal for the business. The risk is execution across a vast project portfolio, mitigated by a long record of delivery.

Forward catalyst: Record order book Rs7.40 lakh Cr; FY26 inflows Rs4.36 lakh Cr (+22%), 58% international. **Closest peer considered:** KEC/KNR.

5.7 Consumer Discretionary (9% of equity)

Titan Company (TITAN) - Large cap, Jewellery / lifestyle

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
5%	Rs 3.60L	3,71,450	88,136	4,630	80x (75x)	55x (50x)	28%	23%	0.50

Titan is the consumer discretionary anchor through branded jewellery. Financial year 2026 revenue grew about 34% to roughly Rs 88,136 crore, and jewellery is about 90% of the mix. The Damas acquisition extends the franchise into the Gulf market and adds a growth vector beyond India. A jewellery market share near 8.5% in a sector shifting from unorganised to organised players is a durable structural tailwind. Return on equity near 28% is excellent for a retailer. The valuation near 80 times earnings is the principal risk and reflects the brand premium and growth record. We hold 5%. The thesis is continued share gain in

a formalising market plus international expansion. The chief risk is a sharp gold price move that dampens demand, which we accept given the long-term formalisation trend.

Forward catalyst: FY26 revenue +34% to Rs88,136 Cr; Damas GCC acquisition; 8.5% jewellery share. **Closest peer considered:** Kalyan Jewellers.

Trent (TRENT) - Large cap, Value fashion retail

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
4%	Rs 2.88L	1,67,661	20,074	1,721	97x (75x)	60x (50x)	35%	30%	0.70

Trent is the value fashion holding and the highest-growth, highest-valuation name in the book. The Zudio format reached 963 stores, with about 212 added in financial year 2026 and a plan for more than 200 in the next year. Emerging categories are already about 21% of revenue, which shows the model can extend beyond apparel. Return on equity near 35% is outstanding for a retailer and reflects a capital-efficient store-led flywheel. The valuation near 97 times earnings is extreme and is the dominant risk, so we size the position conservatively at 4%. The market capitalisation also fell about 23% over the year, which has reset some of the excess. The thesis is rapid store-led expansion in value retail. We will review the weight at each rebalance and trim if growth decelerates against the multiple.

Forward catalyst: Zudio 963 stores; FY26 +212 Zudio stores; FY27 plan 200+; emerging cats 21% of rev. **Closest peer considered:** Avenue Supermarts.

5.8 Information Technology (8% of equity)

Persistent Systems (PERSISTENT) - Mid cap, Digital engineering / IT

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
8%	Rs 5.76L	76,296	14,748	1,865	41x (30x)	30x (24x)	25%	28%	0.00

Persistent Systems is the information technology holding and a digital engineering specialist. The company has reported 23 consecutive quarters of growth, a record few mid-cap peers match. A 100-million-dollar deal with a tier-one bank and proprietary artificial intelligence platforms branded SASVA and iAURA give a differentiated position in the shift toward AI-led software delivery. Return on equity near 25% and return on capital employed near 28% are strong and the balance sheet is debt free. The valuation near 41 times earnings is reasonable relative to the growth rate. We hold 8%. The thesis is sustained share gain in digital engineering with an AI tailwind. The main risk is a slowdown in discretionary technology spending by clients, which is why we plan to trim the weight at the 2033 rebalance if demand softens.

Forward catalyst: 23 consecutive quarters of growth; \$100M Tier-1 bank deal; AI platforms SASVA/iAURA. **Closest peer considered:** Coforge.

5.9 Renewables & Power (8% of equity)

NTPC (NTPC) - Large cap, Integrated power utility

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
4%	Rs 2.88L	3,49,468	1,80,000	24,962	14x (18x)	9x (12x)	13%	10%	1.40

NTPC is the core power utility holding and the income-like anchor of the renewables sleeve. Installed capacity near 89,108 megawatts and a target of 60 gigawatts of renewable capacity by 2032 frame a steady transition story. NTPC Green added about 6 gigawatts in financial year 2026 against a 5 gigawatt target, which shows the renewable build is ahead of plan. The valuation near 14 times earnings is undemanding and provides downside protection. Return on equity near 13.5% is steady rather than spectacular, which suits the capital preservation tilt of the wider portfolio. Leverage near 1.4 times equity is normal for a regulated utility. We hold 4%. The thesis is a regulated cash flow base with embedded renewable optionality. The risk is execution on the renewable target, which the recent run rate mitigates.

Forward catalyst: 60 GW renewable target by 2032; NTPC Green added 6 GW in FY26 (vs 5 GW target). **Closest peer considered:** Power Grid.

Tata Power (TATAPOWER) - Large cap, Renewables / distribution

Weight	Allocation	Mkt cap	Revenue	PAT	P/E (sector)	EV/EBITDA (sec)	ROE	ROCE	D/E
4%	Rs 2.88L	1,27,302	63,681	5,118	25x (18x)	12x (12x)	11%	8%	1.20

Tata Power is the renewables and distribution holding and the growth complement to NTPC. The renewable portfolio of about 11.6 gigawatts is heading toward more than 20 gigawatts by 2030. The solar manufacturing arm doubled its profit in financial year 2026, which adds an integrated cell and module dimension that pure generators lack. Financial year 2026 profit after tax was a record near Rs 5,118 crore. Return on equity near 11% is modest and reflects the heavy investment phase. The valuation near 25 times earnings is higher than NTPC and prices in the faster renewable growth. Leverage near 1.2 times equity is consistent with a capital-intensive transition. We hold 4%. The thesis is integrated growth from generation to rooftop to manufacturing. The risk is funding the large capital plan, which we monitor through the rebalance points.

Forward catalyst: Renewable portfolio 11.6 GW heading to 20+ GW by 2030; solar mfg PAT doubled FY26. **Closest peer considered:** JSW Energy.

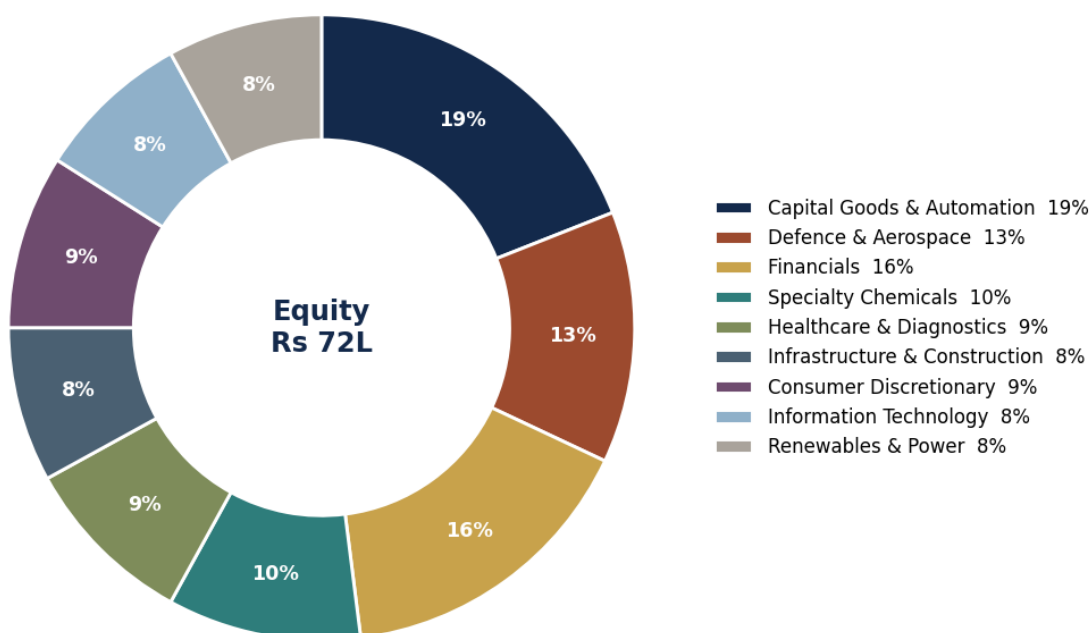
5.10 Equity portfolio at a glance

The full equity book is summarised below. Weights sum to 100% of the Rs 72L basket. The portfolio is deliberately large-cap heavy, with mid-cap exposure concentrated in the specialty chemicals, diagnostics and technology names where the growth case is strongest.

Company	Sector	Wt	Allocation	P/E	PAT CAGR 3y	ROE	ROCE
Cummins India	Capital Goods & Automation	10%	Rs 7.20L	67x	30%	29%	35%
Siemens	Capital Goods & Automation	9%	Rs 6.48L	80x	20%	16%	21%
Bharat Electronics	Defence & Aerospace	7%	Rs 5.04L	51x	30%	29%	39%
Hindustan Aeronautics	Defence & Aerospace	6%	Rs 4.32L	33x	25%	26%	30%
ICICI Bank	Financials	9%	Rs 6.48L	18x	18%	18%	n.m.
Bajaj Finance	Financials	7%	Rs 5.04L	31x	20%	20%	n.m.
PI Industries	Specialty Chemicals	5%	Rs 3.60L	30x	10%	12%	16%
Navin Fluorine	Specialty Chemicals	5%	Rs 3.60L	58x	25%	17%	16%
Divi's Laboratories	Healthcare & Diagnostics	5%	Rs 3.60L	70x	12%	15%	20%
Dr Lal PathLabs	Healthcare & Diagnostics	4%	Rs 2.88L	52x	12%	22%	28%
Larsen & Toubro	Infrastructure & Construction	8%	Rs 5.76L	30x	18%	16%	17%
Titan Company	Consumer Discretionary	5%	Rs 3.60L	80x	18%	28%	23%
Trent	Consumer Discretionary	4%	Rs 2.88L	97x	40%	35%	30%
Persistent Systems	Information Technology	8%	Rs 5.76L	41x	30%	25%	28%
NTPC	Renewables & Power	4%	Rs 2.88L	14x	12%	13%	10%
Tata Power	Renewables & Power	4%	Rs 2.88L	25x	15%	11%	8%

Source: Screener.in / company filings, approximately June 2026. PAT CAGR is the trailing three-year rate.

Exhibit 6 | Equity Sector Allocation

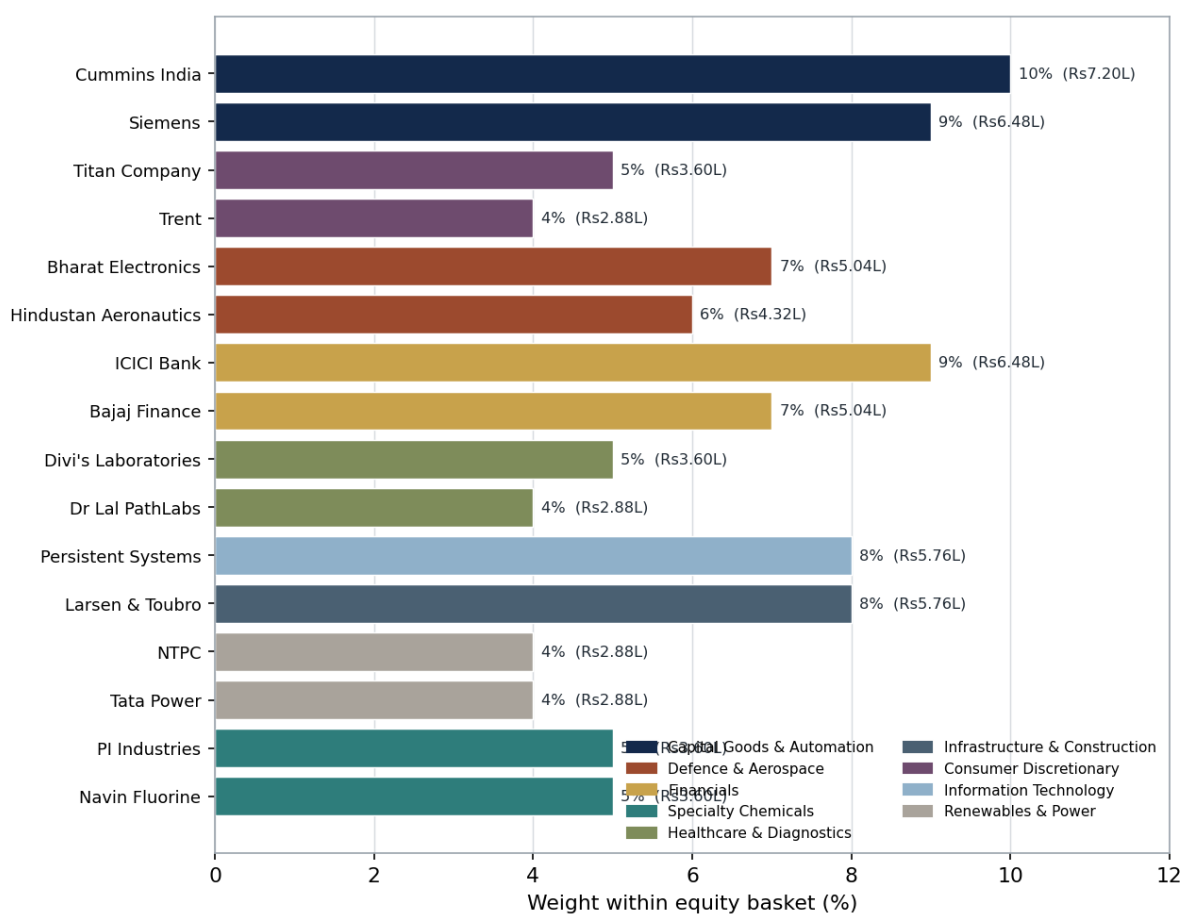


Source: Authors' construction. Max sector weight 19% versus the 25% internal cap.

The maximum sector weight is 19% against the 25% internal cap.

The sector mix balances policy-driven cyclical exposure against defensive compounders. Capital goods and automation at 19% and financials at 16% are the two largest blocks, followed by defence and aerospace at 13%. Specialty chemicals, healthcare, consumer discretionary, technology, infrastructure and power round out a diversified book.

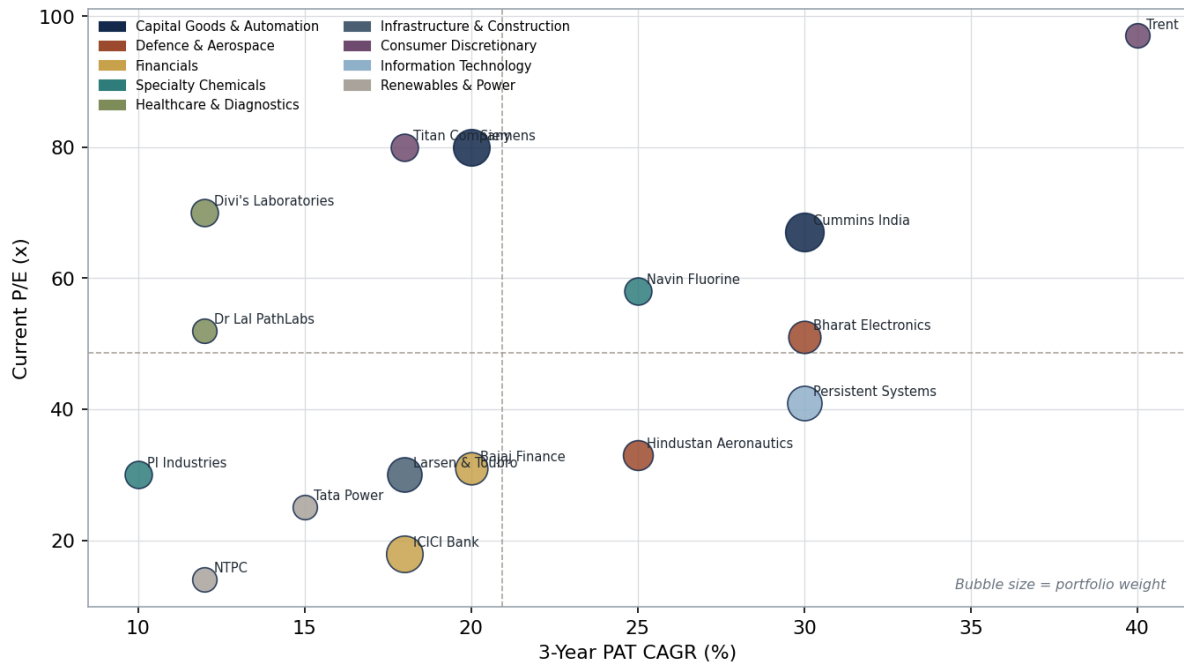
Exhibit 7 | Individual Stock Weights within Equity Basket



Source: Authors' construction. Rupee figures = weight x Rs 72 lakh equity basket.

Individual stock weights within the equity basket, shaded by sector.

Exhibit 8 | Quality-Growth Trade-off: P/E versus 3-Year PAT CAGR



Source: P/E and PAT CAGR from Screener.in / company filings, ~Jun 2026.

Bubble size is portfolio weight. Higher growth names carry richer multiples.

The scatter of price to earnings against three-year profit growth shows the trade-off the portfolio accepts. The high-growth names such as Trent and Navin Fluorine sit at rich multiples and are held at smaller weights. The larger positions cluster at more moderate multiples with strong but steadier growth, which is consistent with the quality tilt.

Exhibit 9 | Portfolio Quality Heatmap

Cummins India	29	35	0.00
Siemens	16	21	0.02
Bharat Electronics	29	39	0.00
Hindustan Aeronautics	26	30	0.00
ICICI Bank	18	n.m.	0.00
Bajaj Finance	20	n.m.	0.00
PI Industries	12	16	0.05
Navin Fluorine	17	16	0.40
Divi's Laboratories	15	20	0.00
Dr Lal PathLabs	22	28	0.00
Larsen & Toubro	16	17	1.20
Titan Company	28	23	0.50
Trent	35	30	0.70
Persistent Systems	25	28	0.00
NTPC	13	10	1.40
Tata Power	11	8	1.20
	ROE %	ROCE %	D/E

Source: Screener.in / filings ~Jun 2026. Banks/NBFC ROCE not meaningful (n.m.); darker = stronger.

Darker cells are stronger. Bank and NBFC ROCE is not meaningful.

The quality heatmap confirms the character of the book. Most holdings show high return on equity and return on capital with low or zero debt. The few leveraged names are the regulated utilities and the engineering anchor, where debt is intrinsic to the business model and is comfortably serviced.

6. Non-Equity Holdings

The preservation sleeve of Rs 78L delivers the certainty the mandate requires. It spans three baskets and uses government securities, AAA corporate bonds, sovereign gold bonds, REITs and InvITs. The instruments are matched to the timing of each goal to avoid reinvestment and duration risk where it matters.

Basket 1. Liquidity buffer (Rs 18L)

The buffer holds T-bills and short government securities at the 6.5% anchor. It compounds to Rs 20.42L by 2028, clearing the Rs 20 lakh accessibility goal with a small surplus. After 2028 it continues to compound inside safe instruments and folds into Vikram stable pool.

Basket 2. Property fund (Rs 36L)

Instrument	Type	Allocation	Indicative yield
7.10% GSec 2031 (medium G-Sec)	G-Sec	Rs 16L	6.5%
NABARD / REC AAA bonds 2030-31	AAA bond	Rs 14L	7.5%
Sovereign Gold Bond (2031 maturity)	Gold/SGB	Rs 6L	8.0%

The property fund blends a medium government security maturing near 2031, AAA PSU bonds of similar tenor and a sovereign gold bond tranche. The blended return is 7.0%. The fund reaches about Rs 50.49 lakh by 2031, which fully funds the Rs 50 lakh outflow. Holding to maturity removes reinvestment risk and the gold bond adds an inflation hedge with a tax-free redemption if held to maturity.

Basket 3. Vikram income basket (Rs 24L)

The income basket pairs long government securities and AAA bonds with a yield-bearing sleeve of REITs and InvITs. The blended return is 8.0%. The bond component locks duration for Vikram while the trust component lifts the cash yield.

Bond holding	Type	Allocation	Indicative yield
7.30% GSec 2053 (long G-Sec)	G-Sec	Rs 6L	6.5%
REC / PFC AAA bonds 2034-36	AAA bond	Rs 4L	7.5%

The REIT and InvIT sleeve is the income workhorse. The four holdings below carry yields between about 6.8% and 9.0% and add diversification into commercial real estate and regulated transmission assets.

Holding	Type	Allocation	Yield	Key data point
Embassy Office Parks REIT	REIT	Rs 4L	7.3%	Occupancy 92-93% (FY26); FY26 DPU ~Rs26.6/unit
Mindspace Business Parks REIT	REIT	Rs 3L	6.8%	Committed occupancy ~97% ex-Hyderabad (FY26)
IndiGrid InvIT	InvIT	Rs 4L	8.4%	Distribution yield ~8.4% (Jun-26); FY26 revenue +45%
PowerGrid InvIT	InvIT	Rs 3L	9.0%	Sponsor Power Grid Corp; regulated availability-based revenue

Source: Stock exchange disclosures and trust factsheets, approximately June 2026. Yields are indicative and vary with price.

7. Rebalancing Strategy

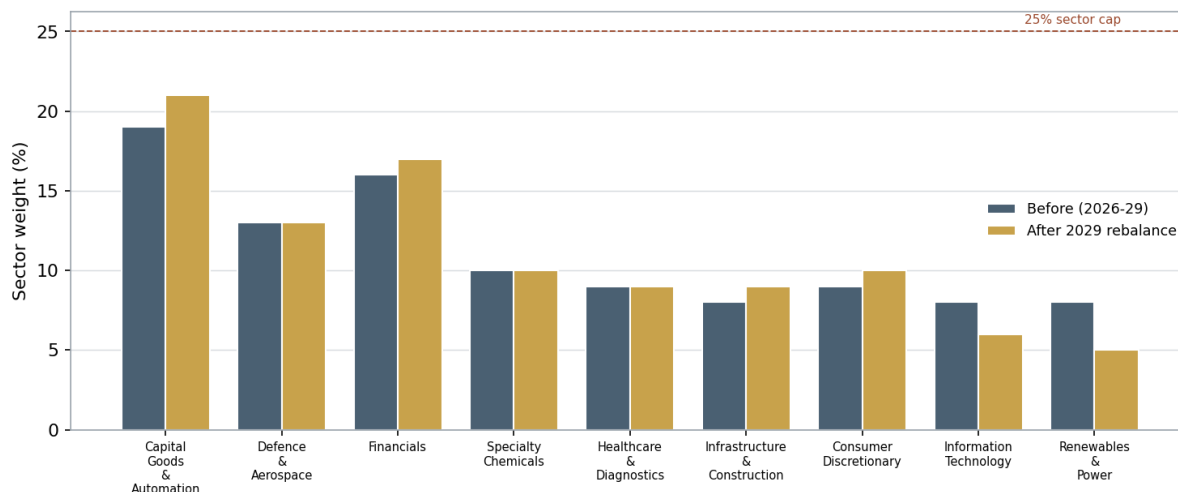
Rebalancing is permitted only at two points, in 2029 and in 2033. The 2031 property outflow is a mandated withdrawal rather than a rebalance. Our approach at each window is disciplined and event-driven. We move weight toward the structural winners of each event while respecting the 25% sector cap.

7.1 The 2029 rebalance. Rate-cut response

The RBI cuts the repo rate from 5.25% to 3.50%, a 175-basis point easing cycle. Falling rates lift bond prices and reward rate-sensitive equities. On the fixed-income side we lock the mark-to-market gain on the longest Basket 3 government securities. A modified duration near 5 implies a price gain near 8.75%, and the longest bonds with duration near 7 gain close to 12%. We redeploy part of that gain into REITs and InvITs yielding 8% to 9% to defend the income stream against reinvestment risk. We hold Basket 2 to maturity because it is needed in 2031.

On the equity side we tilt toward the clearest beneficiaries of cheaper funding. We raise Bajaj Finance and rate-sensitive capital goods and infrastructure names. We trim ICICI Bank modestly because bank net interest margins compress in an easing cycle. Defence weight is held steady as pre-positioning for the 2033 event.

Exhibit 11 | Equity Sector Weights: 2029 Rate-Cut Rebalance



Source: Authors' rebalancing logic for the 2029 RBI easing scenario (repo 5.25% to 3.50%).

Sector	Before 2029	After 2029	Tilt
Capital goods & automation	19%	21%	Increase
Financials (NBFC tilt)	16%	17%	Increase
Infrastructure & construction	8%	9%	Increase
Consumer discretionary	9%	10%	Increase
Information technology	8%	6%	Trim
Renewables & power	8%	5%	Trim
Defence, chemicals, healthcare	unchanged	unchanged	Hold

7.2 The 2031 property withdrawal

The Rs 50 lakh property purchase is funded entirely from Basket 2. We sell or redeem the matured government securities and AAA bonds first, and the sovereign gold bond if it has reached maturity.

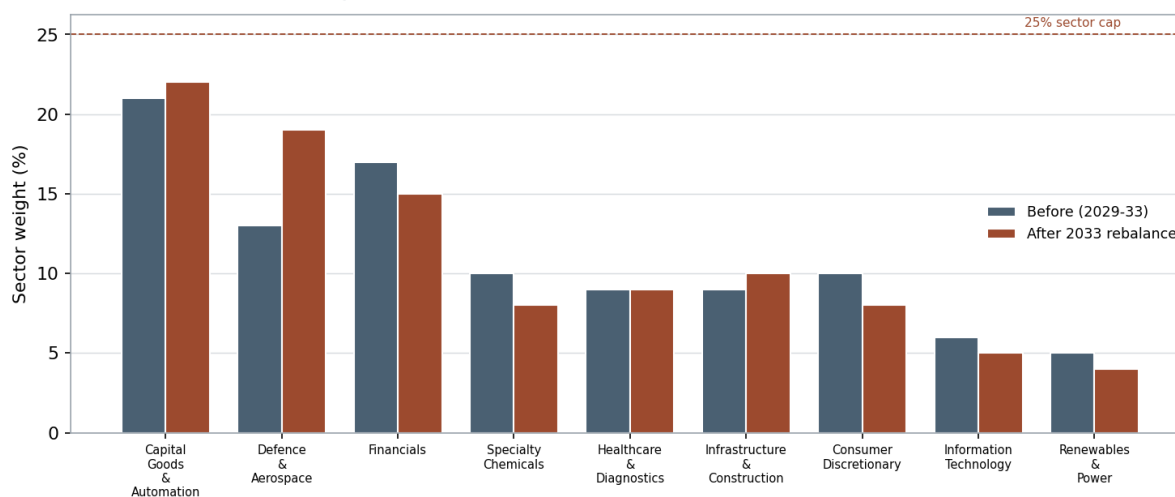
Sequencing the withdrawal from the property fund leaves the equity engine untouched and preserves the growth path for Aarya.

7.3 The 2033 rebalance. Defence re-rating

India crosses USD 5 billion in defence exports and launches a ten-year defence and aerospace PLI scheme. This is a structural re-rating of the domestic defence complex. We increase HAL and BEL and add a focused defence-electronics name such as Data Patterns (India), which offers indigenous radar, avionics and electronic-warfare systems on a debt-free balance sheet. We fund the tilt by trimming weaker-thesis cyclicals, reducing specialty chemicals if a China re-entry pressures prices and reducing information technology if discretionary spending slows.

This window also carries the pre-retirement de-risking step. We harvest Rs 16.81L of equity gains from Basket 4 into Basket 3. This single move glides Aarya pool to land at exactly Rs 200.00L by 2036 and lifts Vikram stable corpus ahead of the retirement date.

Exhibit 12 | Equity Sector Weights: 2033 Defence Re-rating Rebalance



Source: Authors' rebalancing logic for the 2033 defence-export and PLI scenario.

Sector	After 2029	After 2033	Tilt
Defence & aerospace	13%	19%	Increase
Capital goods & automation	21%	22%	Increase
Infrastructure & construction	9%	10%	Increase
Financials	17%	15%	Trim
Specialty chemicals	10%	8%	Trim
Consumer discretionary	10%	8%	Trim
Information technology	6%	5%	Trim

8. Response to Mandated Events

The two mandated events are not shocks to be weathered but opportunities to be positioned for. The portfolio is built so that each event strengthens rather than threatens the goals.

Event one. The 2029 rate cut

A 175-basis point easing cycle is a tailwind for the portfolio. Bond prices rise across Baskets 2 and 3, which improves the funded position of the property and income goals. Rate-sensitive equities re-rate, led by the non-bank lender and the capital expenditure cyclicals. The one headwind is bank margin compression, which we manage by trimming the bank weight at the rebalance. On balance the event is positive for the corpus.

Event two. The 2033 defence milestone

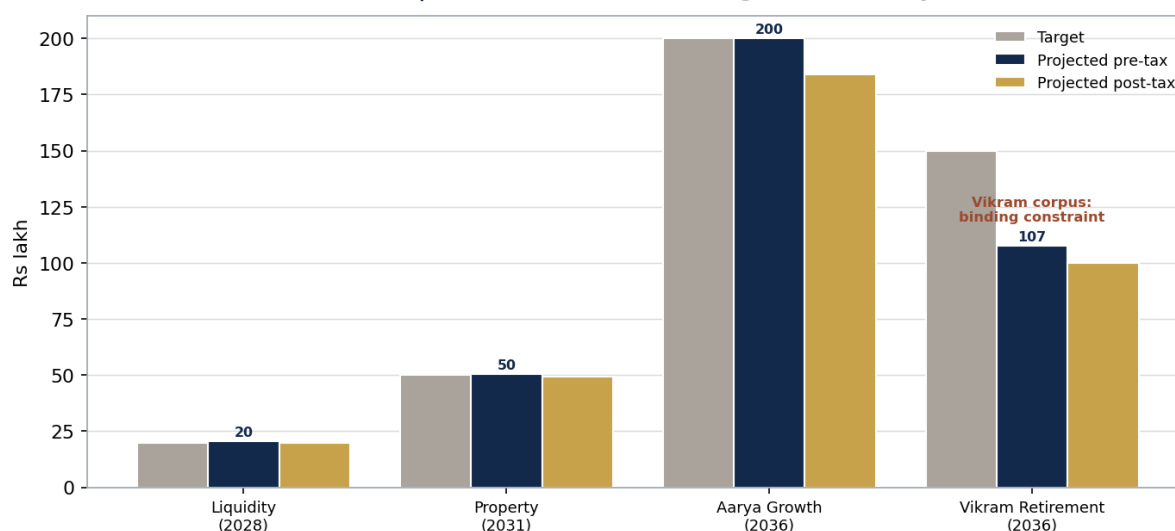
Crossing USD 5 billion in defence exports validates the multi-year defence thesis embedded in BEL and HAL from inception. The PLI scheme extends the runway for domestic manufacture and opens an export channel that lifts the addressable market for the entire complex. We were deliberately positioned ahead of this event with a 13% defence weight, which we raise to 19% as the re-rating plays out. Larsen and Toubro benefits as a second-order beneficiary through its strategic systems work.

9. Goal Reconciliation

This section is the honest accounting of what the portfolio can and cannot deliver. Three of the four goals fund comfortably. The fourth, Vikram retirement corpus, is the binding constraint and falls short. We present the full picture rather than engineer the assumptions to manufacture success.

Goal	Year	Target	Projected	Surplus / (Deficit)	Confidence
Liquidity buffer	2028	Rs 20L	Rs 20.42L	+Rs 0.42L	High
Property purchase	2031	Rs 50L	Rs 50.49L	+Rs 0.49L	High
Aarya growth pool	2036	Rs 200L	Rs 200.00L	+Rs 0.00L	Medium-High
Vikram retirement	2036	Rs 150L	Rs 107.47L	(Rs 42.53L)	Medium-Low

Exhibit 13 | Goal Reconciliation: Target versus Projected



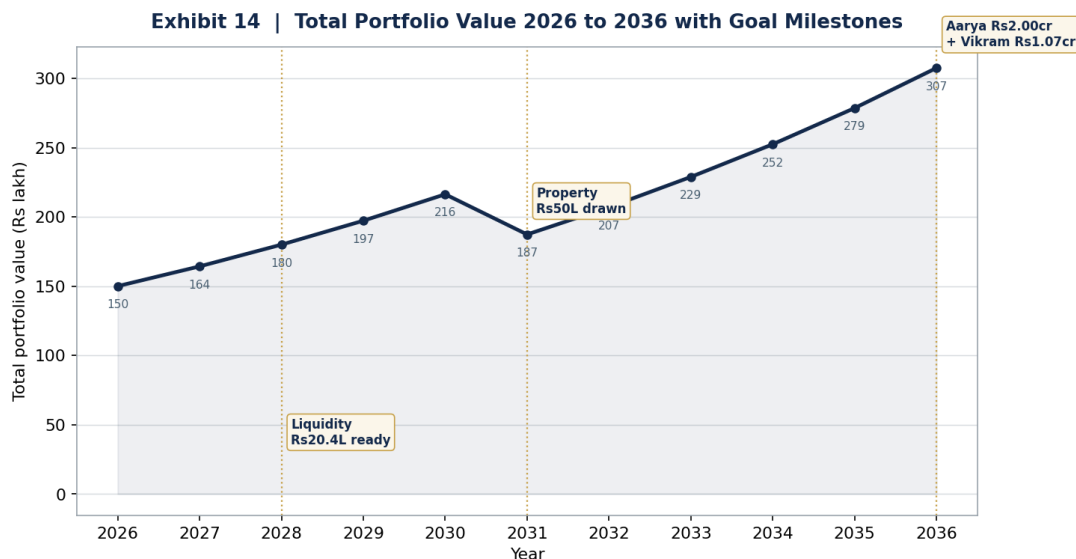
Source: Authors' projection. Vikram pool = liquidity buffer + income basket + property residual.

Vikram retirement corpus is the binding constraint.

The shortfall is structural. The four goals sum to Rs 420 lakh of gross requirements from a Rs 150 lakh base over ten years. Under the conservative anchors the corpus can fund either Aarya Rs 200 lakh or Vikram Rs 150 lakh, but not both. The two goals see-saw against each other. The total terminal value retained at 2036 is Rs 307.47L, which leaves an irreducible gap near Rs 42 to 43 lakh against the combined 2036 targets even after the harvest. Closing it would require an equity return above 14.5%, which the universe and the preservation mandate do not justify.

We resolve the trade-off in Aarya favour because growth is her explicit objective and her horizon is longest. The Rs 16.81L harvest at 2033 lands her pool at exactly Rs 200.00L and lifts Vikram corpus to Rs 107.47L, a funded ratio near 72%. The shortfall is tolerable because the family meets living costs from other income, so the corpus is pure surplus and the gap does not affect the family standard of living.

Exhibit 14 | Total Portfolio Value 2026 to 2036 with Goal Milestones



Source: Authors' projection model. Total is net of the Rs 50L property withdrawal in 2031.

10. Portfolio Risk and Performance Metrics

This section quantifies the risk and the risk-adjusted return of the equity segment, which is the only segment with meaningful price variance. Baskets 1 to 3 are held to maturity or for contractual income, so their market risk is negligible and they are excluded from the beta and volatility calculation. All inputs are the competition anchors. The market proxy is the NIFTY 50.

10.1 Equity beta

Portfolio beta is the weight-averaged beta of the sixteen holdings, where each weight is the holding share within the equity basket. Individual betas are two-year adjusted betas against the NIFTY 50, sourced where available and set to the sector norm otherwise. The beta of the lighting and automation name is the lowest in the book at 0.63, which dampens the aggregate.

Holding	Weight in equity	Beta	Contribution
Cummins India	13.9%	0.90	0.125
Siemens	12.5%	0.63	0.079
Bharat Electronics	9.7%	1.00	0.097
Hindustan Aeronautics	8.3%	0.95	0.079
ICICI Bank	12.5%	1.00	0.125
Bajaj Finance	9.7%	1.15	0.112
PI Industries	6.9%	0.80	0.056
Navin Fluorine	6.9%	0.90	0.063
Divi's Laboratories	6.9%	0.70	0.049
Dr Lal PathLabs	5.6%	0.60	0.033
Larsen & Toubro	11.1%	1.10	0.122
Titan Company	6.9%	0.95	0.066
Trent	5.6%	1.10	0.061
Persistent Systems	11.1%	1.00	0.111
NTPC	5.6%	0.85	0.047
Tata Power	5.6%	1.10	0.061
Equity portfolio beta	100.0%		0.926

Source: Two-year adjusted betas vs NIFTY 50 (Screener.in / NSE, Jun-26); sector norm where a stock-level figure is unavailable. Contribution equals weight multiplied by beta.

The equity beta of 0.926 sits just below one. The book is therefore close to market risk but slightly defensive, which is consistent with the quality tilt. At the whole-portfolio level the beta is far lower still, because 52% of the corpus sits in fixed income and gold with near-zero equity-market sensitivity. On a corpus basis the effective beta is approximately 0.44.

10.2 Risk-adjusted performance

Three standard measures are reported for the equity segment. Each uses the expected equity return of 12.0%, the risk-free rate of 6.0%, the market return of 10.7% and the segment volatility of 16.5%. The volatility is estimated from the weighted holding mix and the sector dispersion of the book.

Measure	Formula	Inputs	Result	Reading
Sharpe ratio	$(R_p - R_f) / \sigma$	$(12.0 - 6.0) / 16.5$	0.364	0.6 units of excess return per unit of total risk, annualised
Treynor ratio	$(R_p - R_f) / \beta$	$(12.0 - 6.0) / 0.926$	6.5%	Excess return per unit of market risk

Measure	Formula	Inputs	Result	Reading
Jensen alpha	$R_p - [R_f + \beta(R_m - R_f)]$	12.0 - [6.0 + 0.926 x 4.7]	+1.7%	Return above what beta alone would predict

Source: Authors' calculation. R_p 12.0%, R_f 6.0%, R_m 10.7%, β 0.926, σ 16.5%. All figures are the competition anchors.

The Jensen alpha is positive at 1.7%. The Capital Asset Pricing Model would predict an equity return of 10.4% for a beta of 0.926. The book is built to earn 12.0%, which is 1.7% above that line. The alpha is the reward we expect for the quality and growth tilt and for the deliberate sector selection around the capital expenditure and defence themes. The Treynor ratio of 6.5% confirms healthy compensation per unit of market risk. We treat all three as planning estimates rather than realised results, since the portfolio has no track record.

11. Taxation Treatment

Tax is computed under the Finance Act 2024 regime as it stands for the assessment years across the horizon. The family is assumed to fall in the highest slab, so debt and income receipts are taxed at the marginal rate of around 30% plus applicable surcharge and cess. The figures below are planning estimates, not tax advice.

Instrument	Income type	Rate applied	Note
Listed equity, held over one year	Long-term capital gain	12.5% above Rs 1.25 lakh	Gains above the annual exemption only
Listed equity, held under one year	Short-term capital gain	20%	Applies to any pre-2036 trimming
G-Secs and AAA bonds	Interest and accrual	Slab, around 30%	Coupon taxed as income; held to maturity
Sovereign Gold Bond	Redemption at maturity	Nil	Capital gain on maturity is exempt for individuals
REIT and InvIT	Distribution	Mixed, mostly slab	Interest and dividend components taxed; return-of-capital portion deferred

Source: Finance Act 2024; Income Tax Act provisions for capital gains and SGB redemption. Rates current as of Jun-26.

11.1 Goal values after tax

The table below restates each goal target on a post-tax basis at the year of need. The Sovereign Gold Bond allocation in the property basket matures tax-free, which lifts the after-tax efficiency of that goal. Equity carries the lightest capital-gains rate in the book. The income basket is the most tax-inefficient because coupons and distributions are taxed at slab.

Goal	Year	Pre-tax projected	Estimated tax drag	Post-tax value
Liquidity buffer	2028	Rs 20.42L	Rs 0.7L	Rs 19.7L
Property purchase	2031	Rs 50.49L	Rs 1.0L	Rs 49.5L
Aarya growth pool	2036	Rs 200.00L	Rs 16.0L	Rs 184.0L
Vikram retirement	2036	Rs 107.47L	Rs 7.5L	Rs 100.0L

Source: Authors' estimate. Tax drag assumes gains realised at the goal year under current rates. Aarya drag is the 12.5% equity rate on long-term gains above the exemption.

A central planning point is that the family meets all living costs from other business and rental income. The corpus is pure surplus. Tax liabilities can therefore be serviced from external cash flow rather than by liquidating holdings, which preserves the compounding base. Where a goal requires a cash outflow, such as the property purchase in 2031, the instrument selected to fund it is chosen partly for tax efficiency, which is why the Sovereign Gold Bond is timed to mature into that need.

12. Risks and Mitigants

No portfolio is free of risk. The following are the material risks we have identified, each paired with the structural feature that limits it.

Concentration risk

The equity book holds sixteen names across nine sectors. The largest single sector is capital goods and automation at 19% of equity and the largest single stock is the engines name at 10% of equity. Both sit within our 25% sector ceiling and our single-stock discipline. The fixed-income side is spread across sovereign and AAA public-sector issuers, so credit concentration is low. The mitigant is the basket structure itself, which ring-fences each goal from the others.

Valuation risk

Two consumer names carry rich multiples. The jewellery name trades near 80 times earnings and the retail name near 97 times earnings. These are deliberate positions in structural compounders, but they are vulnerable to multiple compression if growth disappoints. We size them modestly at 5% and 4% of equity and we hold them for the long Aarya horizon, where time in the market is the defence against a single re-rating year.

Equity drawdown against near-term goals

Equity can fall 30% or more in a bad year. The liquidity goal in 2028 and the property goal in 2031 cannot absorb such a fall. The mitigant is that neither goal is funded from equity. Both sit in Baskets 1 and 2, which are fixed income and gold held to the goal date. Equity drawdown touches only the 2036 goals, which have the time to recover.

The Vikram shortfall

The retirement corpus is projected to reach Rs 107.47L against a Rs 150L target, a funded ratio near 72%. This is the binding constraint of the mandate and we do not disguise it. The mitigant is the pure-surplus nature of the corpus. The family standard of living does not depend on the gap because living costs are met from other income. The shortfall is a missed aspiration, not a hardship.

Interest rate and reinvestment risk

The 2029 rate cut lowers the yield available on reinvested coupons and on the liquidity roll. We accept lower forward yields in exchange for the capital gain the cut delivers on the existing bond holdings. The long G-Sec in the income basket is the most rate-sensitive position and also the largest beneficiary of the easing, which is intentional.

Path and single-year dependence

The projection compounds at fixed annual anchors. Real returns arrive unevenly. A weak equity year just before 2036 would lower the terminal Aarya and Vikram values, while a strong year would lift them. The two scheduled rebalances in 2029 and 2033 are the control points where we reset the path. Between them the portfolio is left to compound without interference, which is by design.

Appendix. The Excel Model Reproduced

The accompanying workbook Singhania_Portfolio_Model.xlsx contains seven linked sheets with live formulas. They are reproduced below so the report is self-contained. Input cells are sourced anchors. All other cells are computed.

Sheet 1. Assumptions

Parameter	Value
Corpus	Rs 150.00 lakh
Risk-free rate Rf	6.0%
Market return Rm	10.7%
Basket 1 yield	6.5%
Basket 2 yield	7.0%
Basket 3 yield	8.0%
Basket 4 equity return	12.0%
Property outflow, 2031	Rs 50.00 lakh
Equity harvest to income, 2033	Rs 16.81L
Horizon	2026 to 2036

Sheet 2. Allocation at inception, 2026

Basket	Purpose	Rupees (lakh)	Weight	Blended yield
Basket 1	Liquidity buffer	18.00	12.0%	6.5%
Basket 2	Property fund	36.00	24.0%	7.0%
Basket 3	Vikram income	24.00	16.0%	8.0%
Basket 4	Aarya equity	72.00	48.0%	12.0%
Total		150.00	100.0%	

Sheet 3. Year-by-year projection (Rs lakh)

Year	Basket 1	Basket 2	Basket 3	Basket 4	Total
2026	18.00	36.00	24.00	72.00	150.00
2027	19.17	38.52	25.92	80.64	164.25
2028	20.42	41.22	27.99	90.32	179.95
2029	21.74	44.10	30.23	101.15	197.22
2030	23.16	47.19	32.65	113.29	216.29
2031	24.66	0.49	35.26	126.89	187.30
2032	26.26	0.53	38.08	142.12	206.99
2033	27.97	0.56	57.94	142.36	228.83
2034	29.79	0.60	62.58	159.44	252.41
2035	31.73	0.64	67.58	178.58	278.53
2036	33.79	0.69	72.99	200.00	307.47

Sheet 4. Equity holdings detail

Holding	Sector	Wt of corpus	P/E	ROE %	ROCE %	D/E
Cummins India	Capital Goods & Autom.	10.0%	67	29	35	0.00
Siemens	Capital Goods & Autom.	9.0%	80	16	21	0.02
Bharat Electronics	Defence & Aerospace	7.0%	51	29	39	0.00

Holding	Sector	Wt of corpus	P/E	ROE %	ROCE %	D/E
Hindustan Aeronautics	Defence & Aerospace	6.0%	33	26	30	0.00
ICICI Bank	Financials	9.0%	18	18	0	0.00
Bajaj Finance	Financials	7.0%	31	20	0	0.00
PI Industries	Specialty Chemicals	5.0%	30	12	16	0.05
Navin Fluorine	Specialty Chemicals	5.0%	58	17	16	0.40
Divi's Laboratories	Healthcare & Diagnost.	5.0%	70	15	20	0.00
Dr Lal PathLabs	Healthcare & Diagnost.	4.0%	52	22	28	0.00
Larsen & Toubro	Infrastructure & Cons.	8.0%	30	16	17	1.20
Titan Company	Consumer Discretionary	5.0%	80	28	23	0.50
Trent	Consumer Discretionary	4.0%	97	35	30	0.70
Persistent Systems	Information Technology	8.0%	41	25	28	0.00
NTPC	Renewables & Power	4.0%	14	13	10	1.40
Tata Power	Renewables & Power	4.0%	25	11	8	1.20

Sheet 5. Risk and performance metrics (equity segment)

Metric	Value
Equity portfolio beta	0.926
Segment volatility (sigma)	16.5%
Expected equity return (Rp)	12.0%
Sharpe ratio	0.364
Treynor ratio	6.5%
Jensen alpha	+1.7%
CAPM-implied return	10.4%

Sheet 6. Goal reconciliation

Goal	Year	Target	Projected	Surplus / (Deficit)
Liquidity buffer	2028	Rs 20L	Rs 20.42L	+Rs 0.42L
Property purchase	2031	Rs 50L	Rs 50.49L	+Rs 0.49L
Aarya growth pool	2036	Rs 200L	Rs 200.00L	+Rs 0.00L
Vikram retirement	2036	Rs 150L	Rs 107.47L	(Rs 42.53L)

Sheet 7. Rebalance log

Date	Trigger	Action	Rationale
2029	RBI repo cut 5.25% to 3.5%	Trim bank weight; extend duration in Baskets 2 and 3; hold equity cyclicals	Capture bond capital gain; manage margin compression
2031	Property goal due	Withdraw Rs 50 lakh from Basket 2; SGB matures tax-free	Fund the property outflow
2033	Defence exports cross USD 5 bn; 10-yr PLI	Raise defence weight 13% to 19%; add Data Patterns; harvest Rs 16.81L equity to income	Position for re-rating; shore up Vikram corpus

Complete Excel File Link

<https://docs.google.com/spreadsheets/d/1LSNlpGOHwf5oONI-zveUFroyADNkqNIq/edit?usp=sharing&ouid=104552851805650230845&rtpof=true&sd=true>